

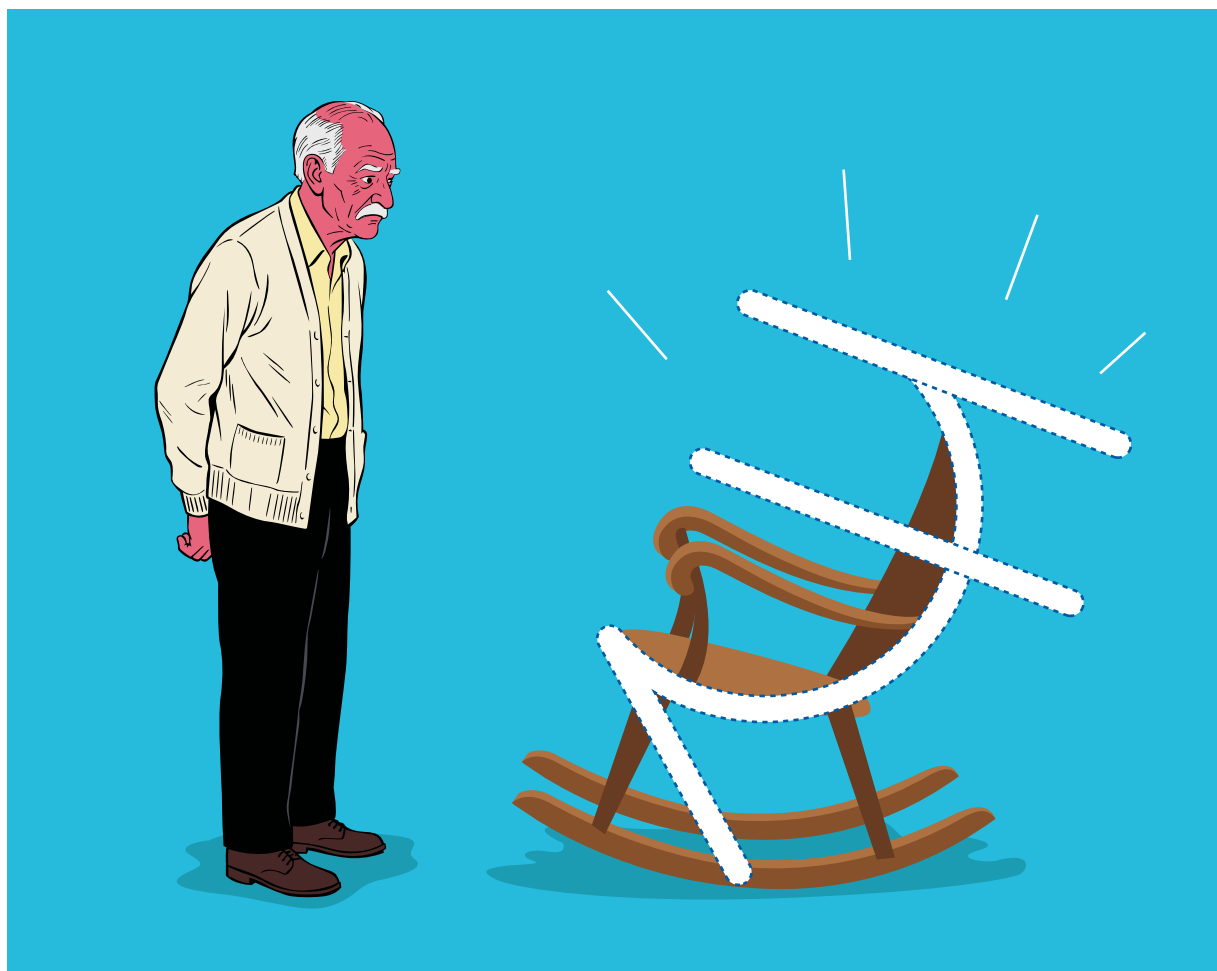


ILLUSTRATION BY **RAJ VERMA**

of the FMI is that pension participation is closely linked to broader measures of financial maturity.

Households that think seriously about retirement save more, invest more, maintain higher insurance coverage and participate more actively in NPS. Conversely, households with weak planning orientation perform poorly across multiple dimensions of financial preparedness.

The broader evidence points in the same direction. Health insurance coverage remains low, professional financial advice is rarely used, many households do not review their financial plans, fewer than 40% have adequate emergency savings, and more than one-third have experienced a major

financial shock. Taken together, these findings suggest a broader conclusion: India's pension challenge is actually a financial maturity challenge.

THE BEHAVIOUR OF A SAVING NATION

To understand why preparedness lags inclusion, the FMI examined household financial behaviour. The findings reveal an important paradox. Indians overwhelmingly see themselves as savers—86.3% prefer saving over non-essential spending and 87.3% say money gives them a sense of security. Yet many remain financially fragile. 35% reported a major financial emergency during the past five years, while only 38.6% have emergency

savings sufficient to cover at least three months of expenses. When shocks occur, households continue to rely heavily on family and friends rather than formal financial buffers or insurance.

The FMI assessed five behavioural dimensions—saving preference, financial stress, procrastination, perceived financial control, and money as psychological security. Together they portray a population that values saving but struggles to convert that instinct into long-term financial preparedness.

THE SECURITY PARADOX

Perhaps the most striking finding is what may be called the security